Office Rent Growth Accelerates as Gateway Market Rebound Continues

▶ 18.8%
Vacancy Rate

▲ $36.85
Asking Rent

▼ 3.8 MSF
Net Absorption

▼ 2.4 MSF
Completions

Note: Arrows indicate change from previous quarter.

Executive Summary

- The U.S. office market posted its seventh consecutive quarter of positive absorption totaling 3.8 million sq. ft. in Q4. Annual absorption of 21 million sq. ft. was well below the long-run average.
- Leasing activity increased to 60.2 million sq. ft. in Q4, the second-highest quarterly total over the past three years, trailing only Q4 2024. Annual leasing activity totaling 225 million sq. ft. was just 3% below 2019 levels.
- Coastal gateway markets accounted for the majority of year-over-year leasing growth, led by Boston (+31%), San Francisco (+28%), Manhattan (+27%) and Philadelphia (+21%).
- Downtown districts accounted for 42% of Q4 leasing activity, despite comprising 35% of overall supply. Downtown leasing activity rose by 8% year-over-year in 2025, while suburban activity fell by 7% over the same period.
- The construction pipeline fell to 14 million sq. ft. in Q4 and full-year 2025 construction completions were at their lowest level since 2012. The rebalancing of supply and demand will continue to support the office market's gradual recovery.
- Across the top 20 markets, prime vacancy was lower than the overall office vacancy rate by an average of 5.6 percentage points.
- Average asking rent rose by 1.9% year-over-year to $36.85 per sq. ft., the strongest annual growth since Q1 2020 and in line with the 30-year average.

© 2025 CBRE, INC.

Figure 1
Net absorption remained positive

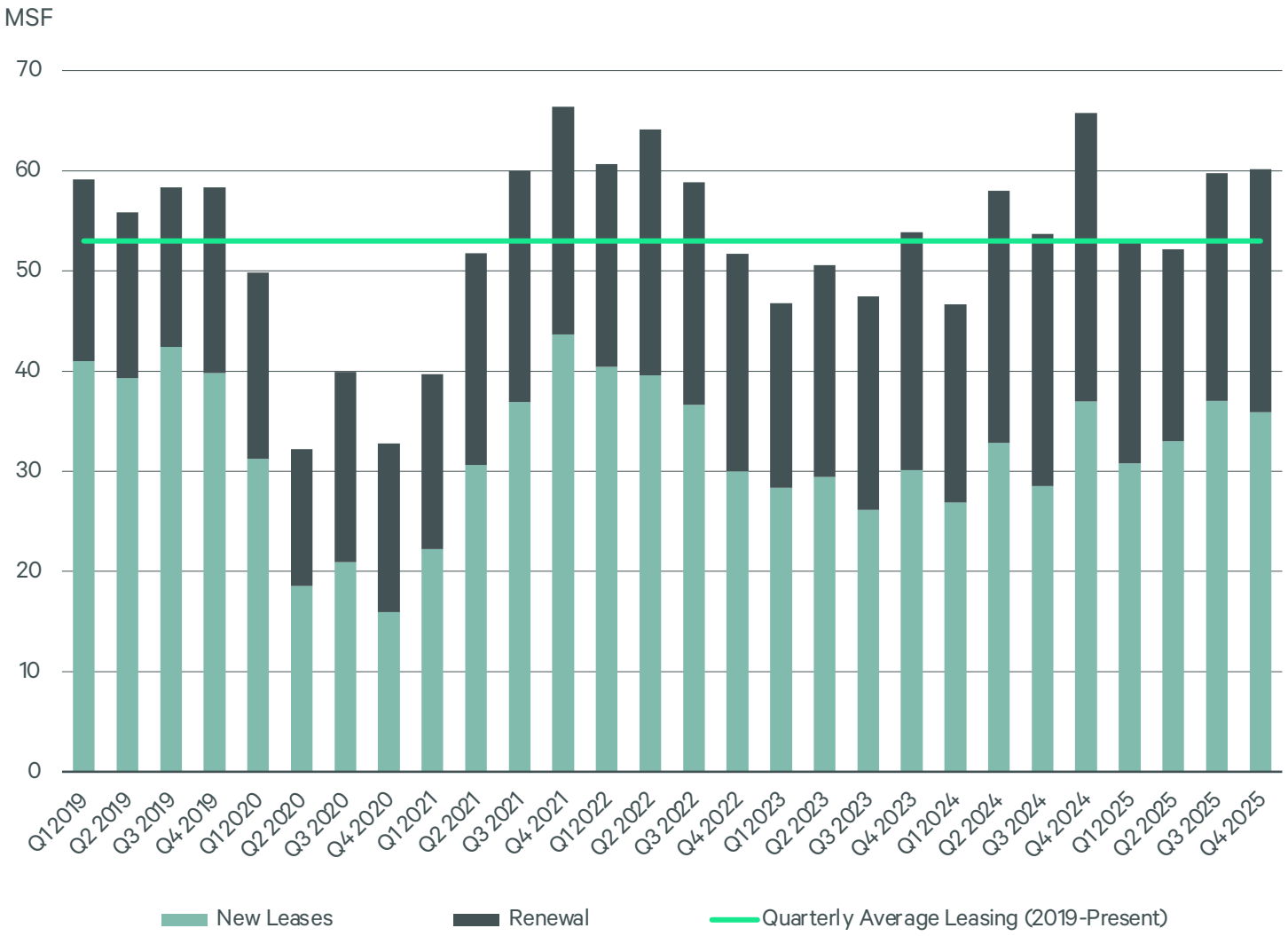
- Net absorption remained positive for the seventh consecutive quarter at 3.8 million sq. ft. Full-year 2025 net absorption was 21 million sq. ft., well below the annual average of 45 million sq. ft. from 2010 to 2019.
- The overall office vacancy rate remained at 18.8% in Q4, in part due to construction completions totaling just 2.4 million sq. ft., the lowest quarterly level since 2012.
- Markets with the strongest absorption have the highest concentration of finance employment. The finance sector was a main driver of leasing activity in 2025 in markets like Manhattan, Phoenix, Charlotte and Tampa.

Source: CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Figure 2
Leasing activity continued to increase

- Leasing activity increased by 3% quarter-over-quarter in Q4 to 60.2 million sq. ft. but declined by 7% year-over-year from near-record levels in Q4 2024.
- Full-year 2025 leasing activity increased by 1% year-over-year to 225 million sq. ft., just 3% below 2019 levels.
- The number of lease transactions in 2025 was 26% higher than in 2019 but the average leased square footage fell by 23%. The contraction underscores the continued impact of hybrid work on large users' office footprints and decision timelines.
- Leases for 100,000 sq. ft. or more in 2025 were 40% below 2019 levels. Among downtown markets, leases of this size increased by 19% on an annual basis, while among suburban markets they fell by 4%.
- Renewals in Q4 remained above the pre-pandemic average. This could persist due to limited prime office space, virtually no new construction and high relocation costs.
- While the share of renewals remained high, new leases grew their share of overall activity in Q4 as occupiers became more confident in making long-term space decisions.



Note: Leasing transactions of 10,000 sq. ft. or more.
Source: CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 3
Coastal gateway markets captured greater share of leasing

- The top 10 markets for leasing activity in 2025 accounted for over half of total annual volume. Five of the top 10 had year-over-year leasing growth, while the other five had drops in activity.
- Boston led the top 10 markets for year-over-year leasing growth at 31%, followed by San Francisco (28%) and Manhattan (27%).
- Manhattan accounted for 15% of all U.S. leasing activity in 2025, followed by Washington, D.C. (6%) and Chicago (5%).
- Leasing declined year-over-year in Texas markets (Houston, Dallas and Austin) and several other Sun Belt cities, including Phoenix and Atlanta.

Market	2025 YTD Leasing Volume MSF	YoY Change	Share of U.S. Total Leasing Volume
Manhattan*	33.6	▲	15%
Washington, D.C.*	13.3	▼	6%
Chicago*	11.3	▼	5%
Los Angeles*	10.2	▲	5%
San Francisco*	8.8	▲	4%
Dallas-Fort Worth*	8.4	▼	4%
Atlanta*	7.4	▼	3%
Boston*	7.1	▲	3%
Houston*	7.0	▼	3%
Seattle*	6.1	▲	3%
New Jersey	5.7	▼	3%
Silicon Valley	5.3	▼	2%
Orange County, CA	5.2	▼	2%
Denver*	5.1	▼	2%
Phoenix	4.9	▼	2%
Philadelphia*	4.6	▲	2%
Austin	3.6	▼	2%
Salt Lake City	3.4	▲	2%
San Diego	3.0	▼	1%
Baltimore	2.1	▼	1%

*Gateway market

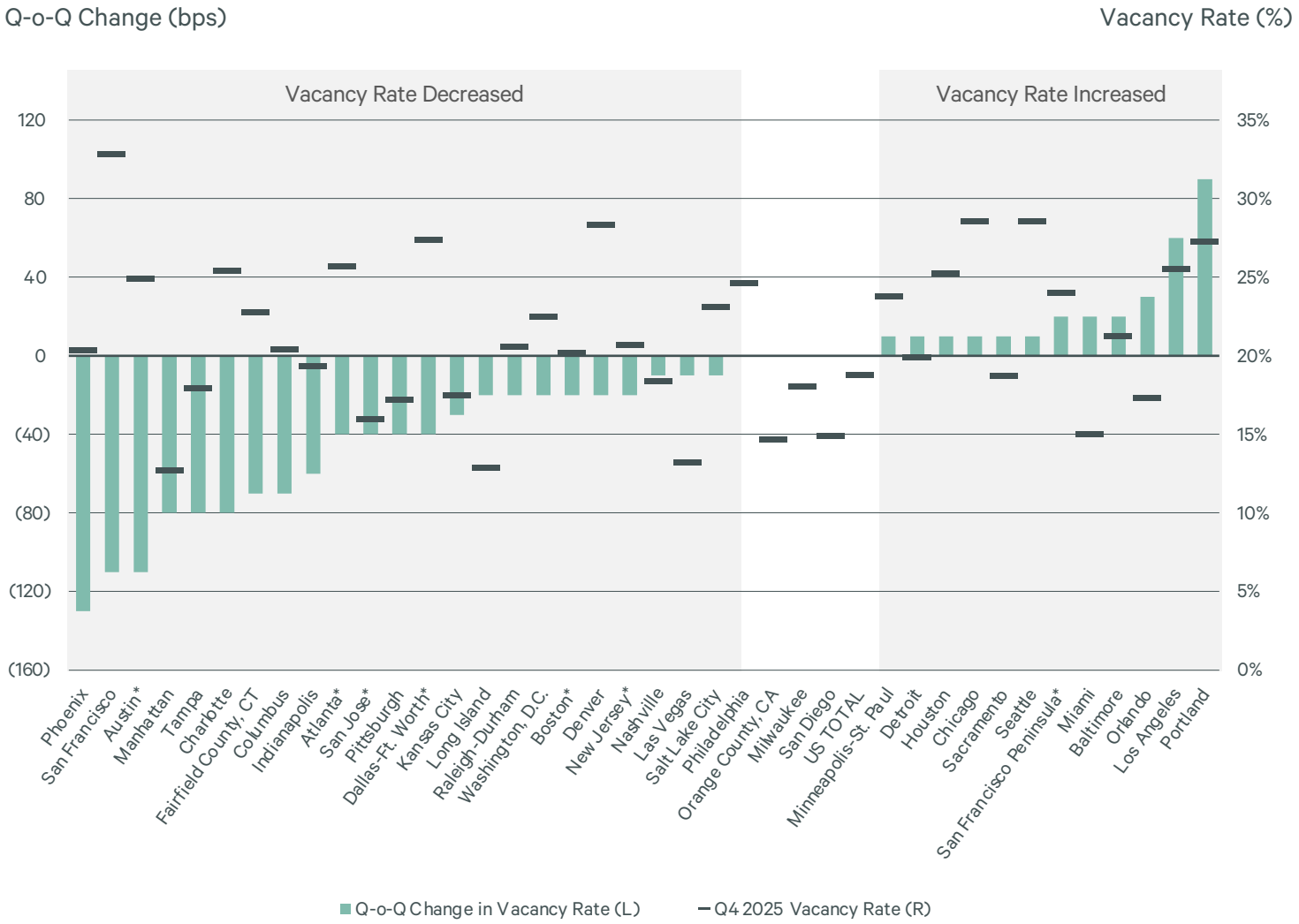
Notes: Top 20 markets by total leasing volume (sq. ft.). Includes new and renewal leases for 10,000 sq. ft. or more. Year-over-year change compares year-to-date leasing volume for the current and prior year.

Source: CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 4
Vacancy declined in most major markets

- Vacancy rates fell in 23 of the top 40 markets tracked by CBRE, increased in 13 and were unchanged in four. Only four markets saw vacancy rates increase by 30 bps or more, compared with 14 that saw vacancy rates fall by at least that amount.
- Quarter-over-quarter vacancy rate declines were significant in Phoenix (-130 bps), San Francisco (-110 bps), Austin (-110 bps), Manhattan (-80 bps) and Tampa (-80 bps).
- Tech and AI-related companies continued to expand in San Francisco, while tech, law and financial firms drove demand in Manhattan. Strong demand outpaced large construction completions in Austin. Phoenix posted the largest quarter-over-quarter decline among major markets, driven by small and mid-size tenants.
- Of the seven major markets with above-average quarterly construction completions, only the suburban San Francisco Peninsula saw vacancy increase quarter-over-quarter, suggesting that supply and demand are balancing after five years of disruption.

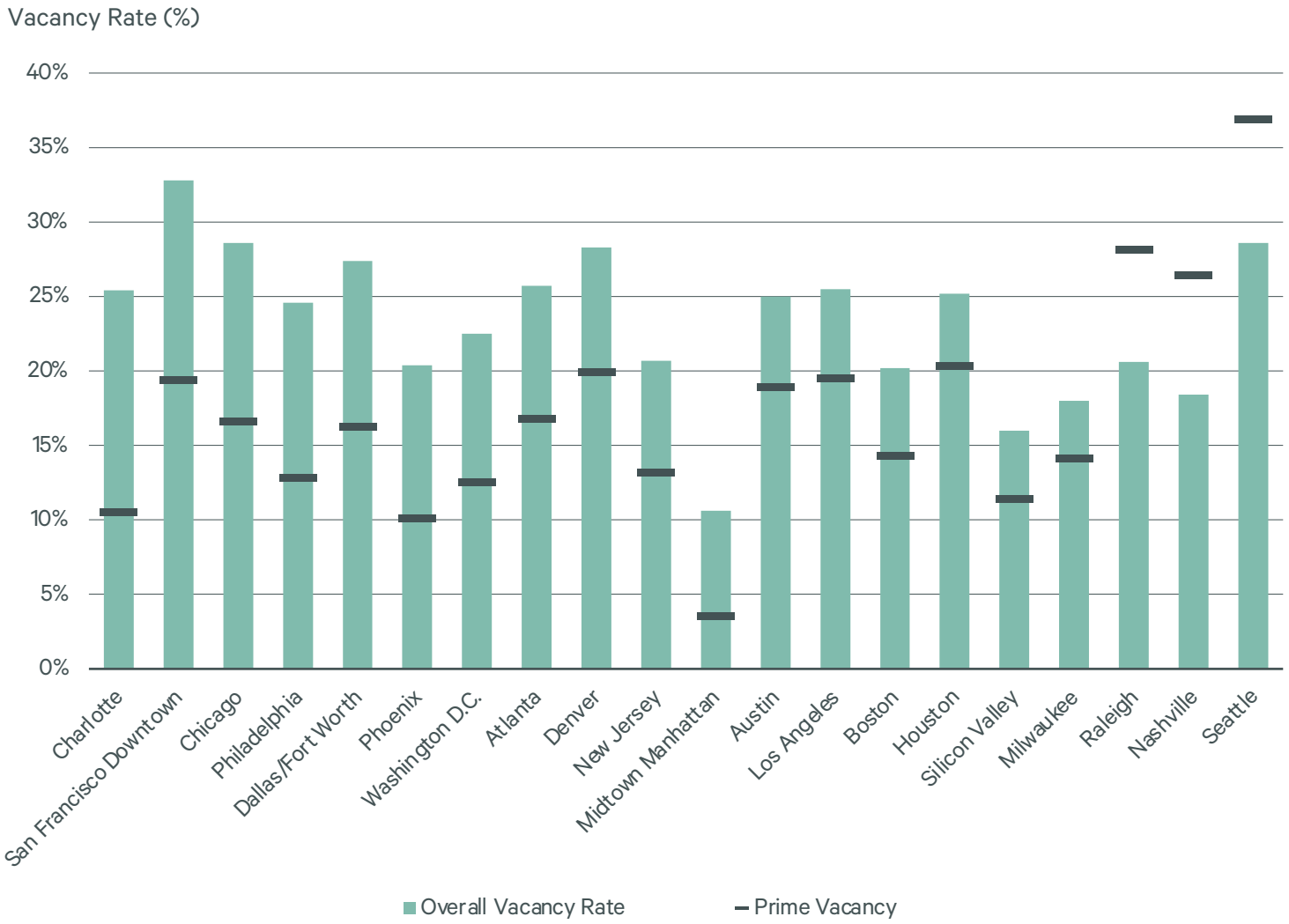


Note: Top 40 U.S. office markets by inventory. Basis-point (bps) changes rounded to nearest 10-bp change in vacancy rate.
*Denotes market with above U.S. average Q4 office completions as share of its market inventory.
Source: CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 5
Vacancy spread between prime & non-prime buildings widened

- Prime vacancy rates in the 20 largest markets were lower than overall vacancy rates by an average of 5.6 percentage points in Q4.
- Prime vacancy rates were more than 10 percentage points below overall vacancy rates in Charlotte, San Francisco, Chicago, Philadelphia, Dallas-Ft. Worth, Phoenix and Washington, D.C.
- Substantial office construction completions in Raleigh-Durham, Nashville and Seattle temporarily drove prime vacancy rates above overall vacancy rates.



Note: 20 largest prime office markets.
Source: CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 6
Sublease availability continued to drop

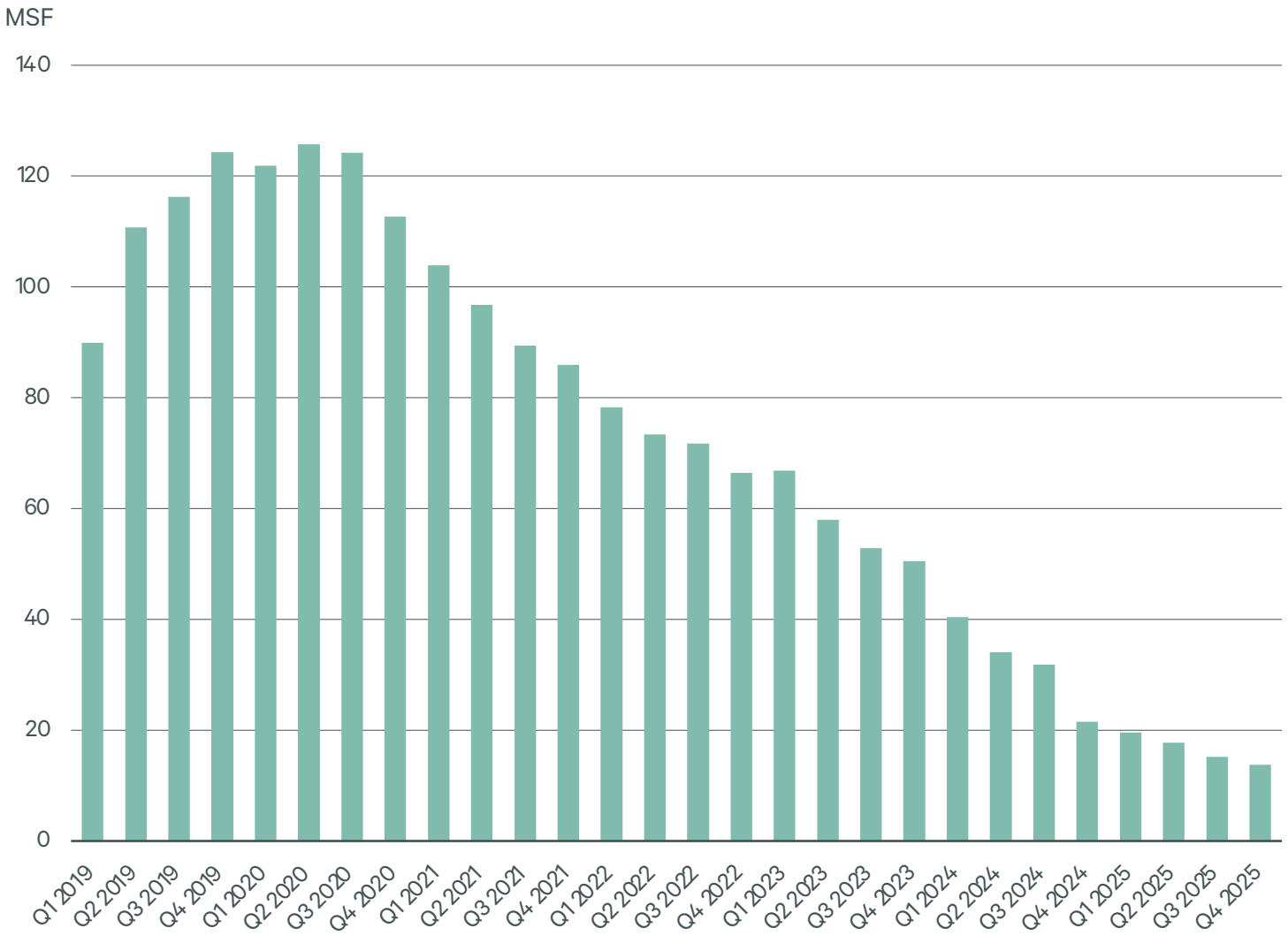
- Available sublease space fell by 70 bps year-over-year in Q4 to 3.2% of total office inventory, the fastest pace of decline since the pandemic. This reflected existing lease expirations and the absorption of some sublease inventory.
- The 133 million sq. ft. of available sublease space was 31% less than its peak in Q2 2023 but still more than the 96 million sq. ft. in Q1 2020.
- Nearly half of all available sublease space was vacant and included in the 18.8% office vacancy rate. The remaining space was still occupied and could limit vacancy rate declines if not backfilled.

Source: CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Figure 7
Construction pipeline further contracted

- Only 13.8 million sq. ft. of office space (0.3% of total U.S. office inventory) was under construction in Q4, down by 89% from Q1 2020.
- Palm Beach County (4%), Cleveland (3%), Miami (2%) and Austin (2%) had the most space under construction as a share of their overall inventory.
- Markets with above-average vacancy rates should benefit from reduced new supply, as tenants are limited to either renewing or leasing existing vacant space.
- Developers completed 15 million sq. ft. of new office construction in 2025, the lowest annual total since 2012 and well below the 10-year average of 41 million sq. ft.

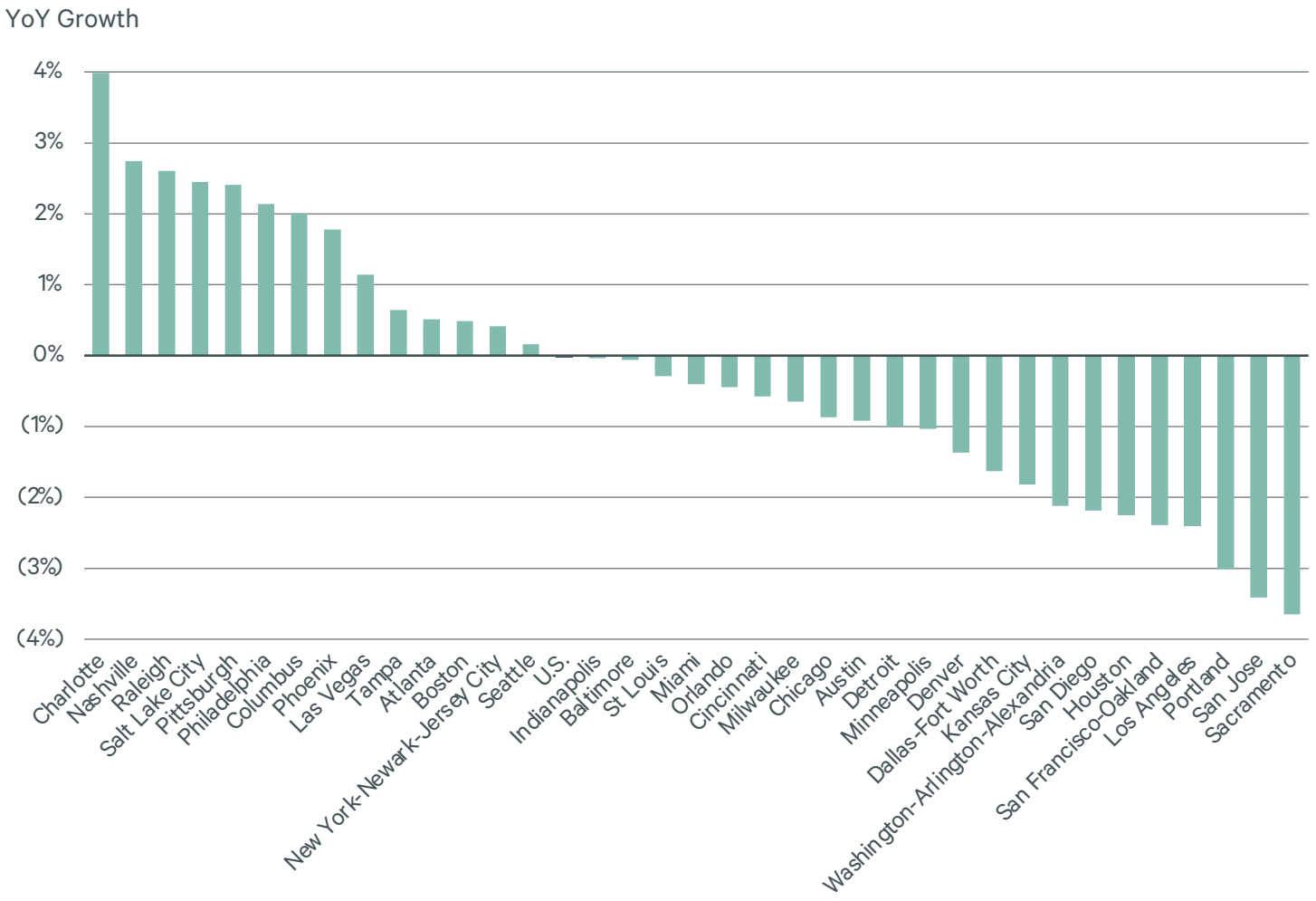


Source: CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 8
Annual office-using employment growth by metro

- Office-using job growth was unchanged year-over-year in Q4 but has increased by 5% since Q1 2020.
- The relationship between employment and space demand is beginning to align more closely after five years of corporate rightsizing.
- Charlotte had the highest year-over-year growth in office-using employment and ranked sixth for vacancy rate declines in the same period.
- Some markets that had strong growth in the past five years are starting to moderate as the labor market and overall office demand recalibrates.
- Average occupied space per employee remained at 148 sq. ft. in Q4, 7% below the 2018/2019 average. The stability of this ratio for the past two years may indicate a new steady state.
- Charlotte (4.0%), Nashville (2.7%), Raleigh (2.6%) and Salt Lake City (2.5%) had the most year-over-year growth in office-using employment, driven by professional & business services and financial services.

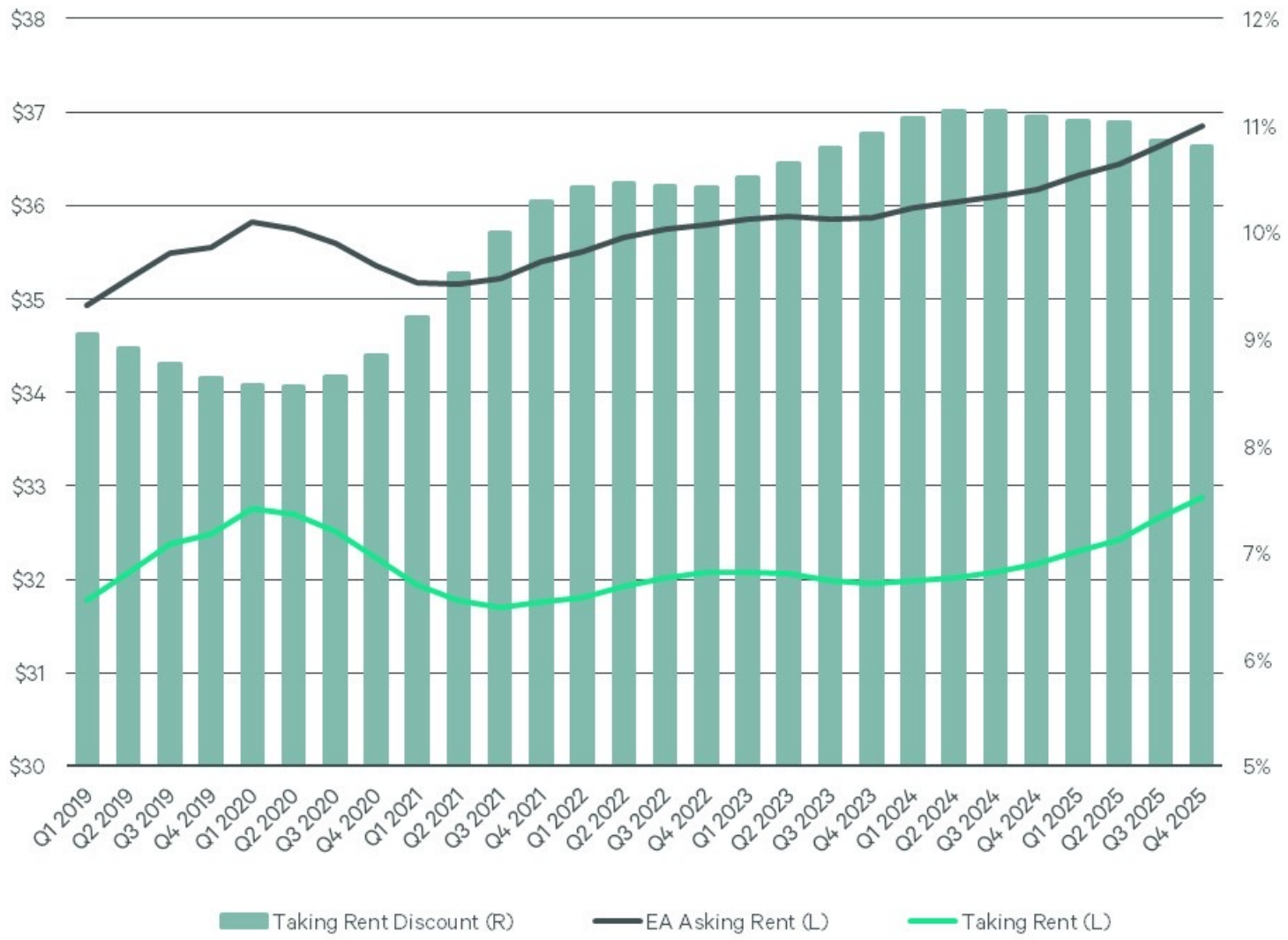


Top 40 U.S. office markets by inventory (sq. ft.), excluding New Jersey, Orange County, Long Island, Fairfield County, CT that fold into broader metro areas.
Note: Office-using employment includes jobs designated by the Bureau of Labor Statistics as Professional & Business Services and Financial Activities.
Source: U.S. Bureau of Labor Statistics, CBRE Research, Q4 2025.

© 2025 CBRE, INC.

Figure 9
Asking & taking rent spread continued to normalize

- Average asking rent rose by 1.9% year-over-year in Q4 to $36.85 per sq. ft., the strongest year-over-year rent growth since Q1 2020 and in line with the 30-year average.
- The discount between average asking and taking rent fell to 10.8% as landlords are regaining leverage in negotiations for higher-quality space. The spread was more than 2 percentage points wider than the 8.6% average in Q1 2020.
- Landlords continued to offer generous tenant improvement allowances and free-rent periods. These concessions limited effective rent growth in Q4, especially for Class B/C buildings.



Source: CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Figure 10
At-a-glance office market metrics

Q4 2025							
Market	Size Rank	Overall Vacancy Rate (%)	YoY Change (Up/Down)	YTD Net Absorption (Sq. Ft.)	YTD Construction Completions (Sq. Ft.)	Direct Avg. Asking Rent ($/SF/Yr, FSG)	YoY Change (Up/Down)
Atlanta	9	25.7%	▼	-202,600	250,000	$33.71	▲
Austin	21	25.0%	▲	-792,881	1,260,073	$48.90	▲
Baltimore	22	21.3%	▲	-233,263	687,985	$26.78	▲
Boston	7	20.2%	▲	-722,449	1,518,865	$51.61	▲
Charlotte	23	25.4%	▲	277,189	473,157	$37.10	▲
Chicago	3	28.6%	▲	-403,402	0	$37.20	▼
Cincinnati	41	21.4%	▲	-283,036	110,000	$20.54	▲
Cleveland	43	19.3%	▲	-284,340	1,125,000	$19.11	▼
Columbus	33	20.4%	▼	804,343	98,350	$22.65	▲
Dallas-Ft. Worth	4	27.4%	▲	212,208	683,469	$33.44	▲
Denver	11	28.3%	▲	-1,844,465	365,175	$33.65	▼
Detroit	17	19.9%	▼	161,326	0	$20.67	▼
Fairfield County, CT	39	22.8%	▼	876,127	0	$36.40	▲
Ft. Lauderdale	51	18.3%	▲	-45,089	0	$43.08	▲
Greenville	59	10.4%	▼	230,138	0	$26.54	▲
Hartford	45	22.9%	▼	885,136	0	$21.51	▲
Honolulu	57	11.8%	▲	-65,459	0	$43.31	▲
Houston	6	25.2%	▼	-471,890	49,117	$31.48	▼
Indianapolis	40	19.3%	▼	250,485	84,951	$22.11	▼
Inland Empire	50	5.9%	▲	-90,856	0	$26.36	▲
Jacksonville	47	24.4%	▼	291,816	19,000	$23.47	▲
Kansas City	25	17.5%	▼	800,660	0	$23.46	▲
Las Vegas	34	13.3%	▼	40,532	0	$31.04	▼

*Arrows indicate year-over-year change.
Source: CBRE Research, CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Figure 10
At-a-glance office market metrics (continued)

Q4 2025							
Market	Size Rank	Overall Vacancy Rate (%)	YoY Change (Up/Down)	YTD Net Absorption (Sq. Ft.)	YTD Construction Completions (Sq. Ft.)	Direct Avg. Asking Rent ($/SF/Yr, FSG)	YoY Change (Up/Down)
Long Island	36	12.9%	▼	999,148	0	$30.58	▼
Los Angeles	5	25.5%	▲	-3,033,853	0	$49.54	▲
Louisville	54	23.3%	▲	-583,856	112,760	$18.94	▲
Manhattan	1	12.7%	▼	6,085,424	2,768,423	$82.00	▼
Miami	38	15.1%	▼	-23,909	266,000	$65.16	▲
Milwaukee	31	18.0%	▼	154,444	0	$21.76	▲
Minneapolis-St. Paul	18	23.8%	▼	90,987	0	$29.58	▲
Nashville	30	18.4%	▼	983,808	1,262,500	$37.84	▲
New Jersey	8	20.7%	▲	-1,709,807	892,000	$32.03	▲
Oakland	46	25.7%	▲	-632,804	0	$44.67	▼
Orange County, CA	13	14.7%	▲	-957,527	0	$33.98	▼
Orlando	37	17.3%	▲	-232,233	0	$28.41	▲
Palm Beach County, FL	53	15.7%	▼	140,335	99,201	$51.18	▼
Philadelphia	14	24.6%	▼	-586,101	0	$32.24	▲
Phoenix	12	20.4%	▼	1,349,714	119,222	$29.75	▲
Pittsburgh	20	17.2%	▲	-155,238	0	$26.49	▲
Portland	28	27.3%	▲	-1,272,998	366,000	$32.95	▲
Raleigh	24	20.6%	▼	119,940	0	$31.43	▼
Sacramento	29	18.8%	▲	-570,827	0	$25.82	▼
Salt Lake City-Provo	27	23.1%	▼	457,112	120,000	$26.70	▲
San Antonio	42	18.6%	▼	241,406	0	$29.04	▲
San Diego	19	14.9%	▲	-634,142	0	$41.13	▲
San Francisco	16	32.8%	▼	2,915,317	0	$70.44	▲

*Arrows indicate year-over-year change.
Source: CBRE Research, CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Figure 10
At-a-glance office market metrics (continued)

Q4 2025							
Market	Size Rank	Overall Vacancy Rate (%)	YoY Change (Up/Down)	YTD Net Absorption (Sq. Ft.)	YTD Construction Completions (Sq. Ft.)	Direct Avg. Asking Rent ($/SF/Yr, FSG)	YoY Change (Up/Down)
San Francisco Peninsula	35	24.1%	▲	-399,670	148,527	$81.27	▼
Silicon Valley	15	16.0%	▼	2,360,364	242,106	$61.88	▼
Seattle	10	28.6%	▲	-2,480,666	723,917	$46.96	▲
St. Louis	26	21.2%	▲	-705,720	0	$21.61	▼
Tampa	32	17.9%	▼	838,588	147,955	$32.07	▲
Tucson	58	15.6%	▼	32,282	0	$23.14	▲
Ventura County	55	19.8%	▲	-368,402	0	$31.20	▲
Walnut Creek/I-680 Corridor	44	22.9%	▲	-548,140	0	$36.39	▼
Washington, D.C.	2	22.5%	▼	-669,142	602,639	$43.25	▼
Westchester County	49	18.8%	▼	1,811,384	0	$30.04	▲
Wilmington	56	22.3%	▼	-15,764	86,780	$27.46	▲
U.S.	**-**	**18.8%**	▶	**21,176,000**	**15,310,000**	**$36.85**	▲

*Arrows indicate year-over-year change.
Source: CBRE Research, CBRE Econometric Advisors, Q4 2025.

© 2025 CBRE, INC.

Contact

Henry Chin, Ph.D.
Global Head of Research
henry.chin@cbre.com

Julie Whelan
Head of Occupier Research, Americas
julie.whelan@cbre.com

Stefan Weiss
Head of U.S. Office Research
stefan.weiss@cbre.com

Charlie Donley
Associate Director
U.S. Office Research
charlie.donley@cbre.com

Christina Tong
Senior Economist
christina.tong@cbre.com

Josh Bank
President
Leasing Occupier Account Management
josh.bank@cbre.com

Whitley Collins
Global President
Occupier Leasing
whitley.collins@cbre.com

Mike Watts
President
Investor Leasing Americas
mike.watts1@cbre.com

© Copyright 2026. All rights reserved. This report has been prepared in good faith, based on CBRE's current anecdotal and evidence based views of the commercial real estate market. Although CBRE believes its views reflect market conditions on the date of this presentation, they are subject to significant uncertainties and contingencies, many of which are beyond CBRE's control. In addition, many of CBRE's views are opinion and/or projections based on CBRE's subjective analyses of current market circumstances. Other firms may have different opinions, projections and analyses, and actual market conditions in the future may cause CBRE's current views to later be incorrect. CBRE has no obligation to update its views herein if its opinions, projections, analyses or market circumstances later change.

Nothing in this report should be construed as an indicator of the future performance of CBRE's securities or of the performance of any other company's securities. You should not purchase or sell securities—of CBRE or any other company—based on the views herein. CBRE disclaims all liability for securities purchased or sold based on information herein, and by viewing this report, you waive all claims against CBRE as well as against CBRE's affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.